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Economic Impact of 2025 Federal Government Shutdown on Maryland

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February 2026

Executive Summary

Maryland hosts approximately 139,000 civilian federal jobs across military and non-military agencies. Many Marylanders are also employed in federal positions located in the greater Washington, D.C. metropolitan area. Altogether, Maryland residents hold about 227,000 federal jobs. In 2023, these jobs generated an estimated \$27 billion in income, accounting for 9.2% of the total adjusted gross income earned by all Marylanders.

Based on agency employment levels and their announced furlough rates, we estimate that approximately 45% of federal government employees in Maryland have been furloughed, directly affecting over 102,000 Maryland residents and resulting in an estimated temporary wage loss of \$255 million per week.

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1 Introduction

Federal government shutdowns occur when Congress fails to pass appropriations legislation to fund federal government operations. During shutdowns, non-essential federal employees are furloughed without pay, leading to reduced household spending and ripple effects throughout the economy. Maryland is particularly vulnerable to shutdown impacts due to its high concentration of federal employees and defense contractors. This report quantifies the economic spillover effects of the proposed 2025 government shutdown on Maryland's economy.

1.1 Data Sources

We utilize multiple data sources for this analysis:

- **Federal Employee Data:** U.S. Office of Personnel Management (OPM) salary data for Maryland federal employees by agency and county
- **Furlough Rates:** Agency contingency plans compiled by GovExec.com, indicating the percentage of employees who would be furloughed by agency (Table 1)
- **IMPLAN Model:** 2024 IMPLAN input-output model for Maryland at the county level, capturing inter-industry linkages and multiplier effects

1.2 Key Assumptions

- Weekly economic loss per county estimated as: $(\text{county resident salary} \times \text{furlough rate}) / 52 \text{ weeks}$
- Furlough rate represents the proportion of federal employees placed on unpaid leave during the shutdown
- Due to lack of data on federal agency distribution across counties, we assume a uniform furlough rate across all Maryland counties
- Furloughed employees receive no pay during shutdown (back pay not modeled)

2 Federal Agency Furlough Rates

Table 1 2025 Government Shutdown Furloughs - Furlough Rates by Federal Agency (Agencies marked as "Pre-2025" have not yet submitted updated 2025 contingency plans.)

Rank	Agency	Rate (%)	Year
1	Equal Employment Opportunity Commission	93	2025
2	National Aeronautics and Space Administration	93	Pre-2025
3	Securities and Exchange Commission	91	2025
4	Nuclear Regulatory Commission	90	Pre-2025
5	Environmental Protection Agency	89	2025
6	Federal Communications Commission	88	2025
7	Department of Education	87	2025
8	Department of Commerce	84	Pre-2025
9	Department of Housing and Urban Development	82	Pre-2025
10	National Science Foundation	80	Pre-2025
11	Department of Labor	76	2025
12	Federal Trade Commission	66	2025
13	Department of State	62	2025
14	White House	61	Pre-2025
15	Department of Energy	60	Pre-2025
16	National Archives and Records Administration	59	Pre-2025
17	Department of the Interior	51	Pre-2025
18	Department of Defense	45	2025
19	Department of Health and Human Services	41	2025
20	General Services Administration	36	2025
21	Department of Transportation	31	2025
22	Small Business Administration	24	2025
23	Department of Agriculture	23	Pre-2025
24	Office of Personnel Management	16	Pre-2025
25	Department of Justice	15	2025
26	Social Security Administration	14	2025
27	Department of Homeland Security	11	2025
28	Department of Veterans Affairs	4	2025
29	Department of the Treasury	2	2025
30	Smithsonian Institution	0	2025

Table 1 presents the furlough rates for 30 major federal agencies based on their 2025 contingency plans¹. The rates vary significantly across agencies, ranging from 0% (Smithsonian Institution) to 93% (Equal Employment Opportunity Commission and NASA). Agencies with higher proportions of employees deemed "essential" have lower furlough rates, such as the Department of the Treasury (2%) and the Department of Veterans Affairs (4%). Defense-related agencies (DOD, Army, Navy, Air Force) have uniform 45% furlough rates, reflecting the large civilian workforce supporting military operations.

Maryland hosts around 139,000 federal jobs across military and non-military agencies². Table 2 shows the distribution of employees by agency, along with average salaries and estimated salary reductions from furloughs. The Department of Health and Human Services employs the largest workforce in Maryland (41,000 employees), followed by the military services (Army: 14,500; Navy: 18,000; Defense: 12,000).

The total estimated direct salary impact from the furloughs amounts to approximately \$8 billion. The Department of Health and Human Services, the Department of Commerce, and the Navy account for the largest salary reductions due to their substantial furlough rates.

¹Data compiled from <https://www.govexec.com/workforce/2025/09/just-23-fed-workers-would-be-furloughed-if-government-shuts-down-under-trump-administrations-plan/408505/>

²This differs from the 227,000 federal employee residents in Table 4, which includes all federal workers residing in Maryland regardless of work location (e.g., those working in D.C. or Virginia but living in Maryland).

Table 2 Government Agency Salary Data

Agency	Salary (\$k)	Furlough Rate (%)	Employees	Salary Deduc (\$m)
DEPT OF STATE	140	62	27	2
SMALL BUSINESS ADMIN	91	24	190	4
NATIONAL SCIENCE FOUNDATION	140	80	62	7
DEPT OF JUSTICE	130	15	560	11
DEPT OF THE TREASURY	140	2	5,500	17
DEPT OF HOUSING AND URBAN DEVELOPMENT	140	82	230	27
DEPT OF VETERANS AFFAIRS	120	4	6,400	32
DEPT OF TRANSPORTATION	150	31	870	40
DEPT OF THE INTERIOR	110	51	1,000	57
DEPT OF HOMELAND SECURITY	120	11	4,600	62
ENVIRONMENTAL PROTECTION AGENCY	150	89	550	71
DEPT OF LABOR	140	76	770	82
DEPT OF EDUCATION	150	87	690	90
DEPT OF AGRICULTURE	130	23	3,400	99
DEPT OF ENERGY	160	60	1,200	120
DEPT OF THE AIR FORCE	120	45	2,400	130
SOCIAL SECURITY ADMIN	120	14	9,800	160
NASA	160	93	3,000	450
DEPT OF DEFENSE	120	45	11,000	630
DEPT OF THE ARMY	130	45	15,000	840
DEPT OF THE NAVY	130	45	17,000	1,000
DEPT OF COMMERCE	140	84	13,000	1,600
DEPT OF HEALTH AND HUMAN SERVICES	150	41	41,000	2,500

Table 3 Military vs Non-Military Salary Data

Category	Salary (\$k)	Furlough Rate (%)	Employees	Salary Deduction (\$m)
Military	130	45	46,000	2,600
Non-Military	140	40	93,000	5,200

Table 3 compares military versus non-military federal employees in Maryland. Non-military employees constitute 67% of the federal workforce in Maryland (93,000 employees) with an average salary of \$140,000, while military-affiliated civilians represent 33% (46,000 employees) with an average salary of \$130,000. The military sector faces a higher average furlough rate (45%) compared to non-military agencies (40%), resulting in a direct salary reduction of \$3 billion for military-affiliated employees and \$5 billion for non-military employees.

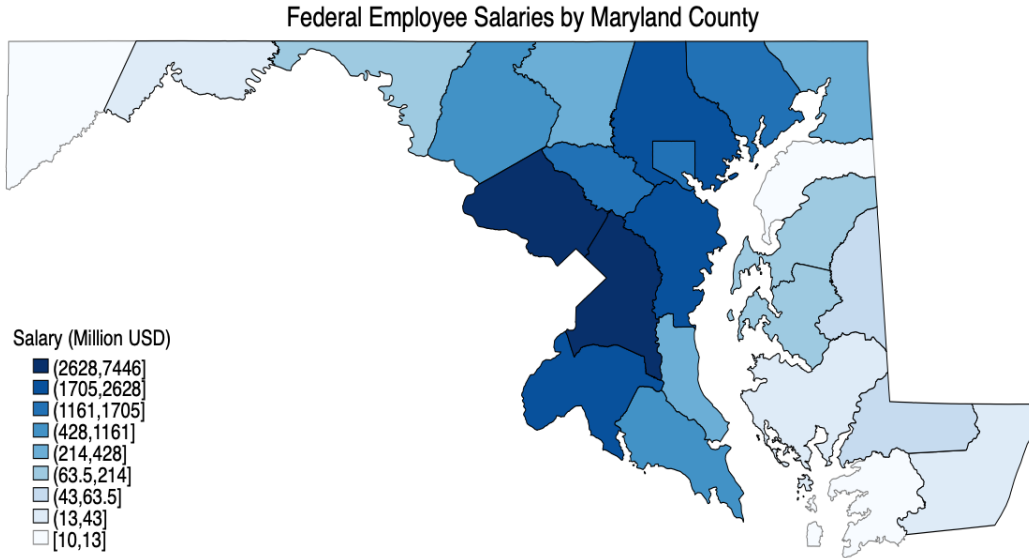


Fig. 1: Federal Employee Salaries by Maryland County

3 Results: Economic Impact Analysis

Figure 1 shows the geographic distribution of federal employee salaries across Maryland counties. Montgomery and Prince George's counties exhibit the highest concentrations at approximately \$7 billion each, accounting for nearly 50% of the state's total federal payroll. This spatial clustering reflects the proximity to Washington D.C. and the concentration of federal agencies in the Capital Region. Counties farther from the metropolitan corridor show substantially lower federal salary levels, with rural areas such as Garrett and Kent counties each accounting for less than \$15 million annually.

Given our assumption of a uniform 45% furlough rate across all counties, the weekly wage deduction for each county is directly proportional to its total resident salary. Therefore, the spatial pattern of economic impacts mirrors the salary distribution shown in Figure 1, with Montgomery and Prince George's counties bearing the largest absolute losses.

Table 4 Federal Employee Furlough Impact

Metric	Value
Maryland Federal Employee Resident	227,000
Total Wage (\$, Billion)	29
Furlough Rate (%)	45%
Affected Resident	102,000
Weekly Wage Deduction (\$, Million)	255
Induced Weekly Wage Deduction (\$, Million)	23

Table 4 summarizes the baseline parameters for Maryland’s federal workforce and the estimated shutdown impact. Maryland hosts approximately 227,000 federal employee residents with a combined annual wage of \$29 billion. Applying the weighted average furlough rate of 45% across agencies, we estimate that 102,000 employees would be affected, resulting in a direct weekly wage reduction of \$255 million. Using the IMPLAN input-output model with this weekly wage shock as the primary input, we calculate an induced weekly wage deduction of \$23 million across Maryland’s economy, reflecting the multiplier effects as reduced household spending cascades through various sectors.

3.1 Employee Compensation Impact by County

The direct wage impact varies across counties. Seven counties are projected to experience temporary weekly income losses exceeding \$10 million, including Montgomery (\$64 million), Prince George’s (\$63 million), Anne Arundel (23 million), Charles County (\$18 million), Baltimore County (\$17 million), Howard County (\$14 million), and Baltimore city (10 million).

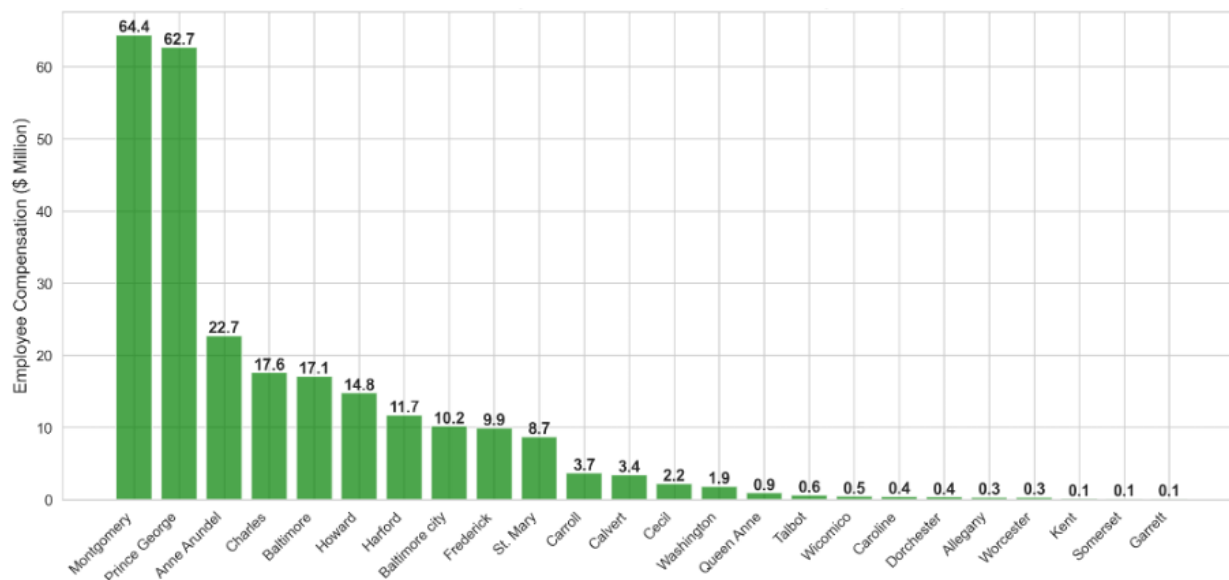


Fig. 2: Enter Caption

3.2 Induced Economic Impact by Industry

Beyond these direct wage effects, the shutdown will generate substantial induced economic impacts across Maryland. The loss of \$255 million in weekly wages will ripple through local economies as affected households cut back on discretionary spending. Industries most sensitive to changes in consumer demand, such as professional and personal services, healthcare, retail trade, restaurants and food services, transportation, and housing, are expected to experience immediate slowdowns in sales and output. Using IMPLAN estimates, the induced effects on output are projected to reach approximately \$75 million per week, or about 29% of the direct wage loss. Figure 3 below provides the estimated induced effect by industry.

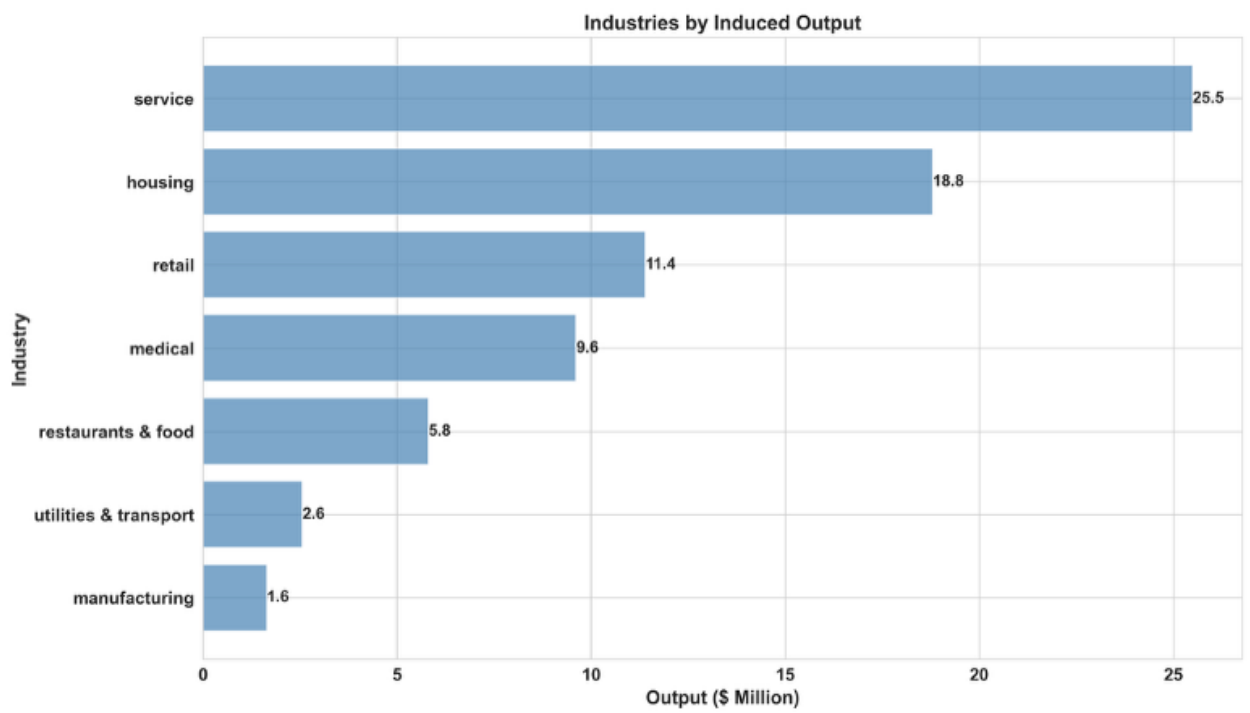


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3.3 Total Economic Impact Across by County

The scale of these secondary effects depends on local spending patterns and the strength of inter-industry linkages. Counties with high concentrations of federal employees and contractors are likely to face the largest spillovers, including lower business revenues, reduced sales tax receipts, and short-term contractions in service activity.

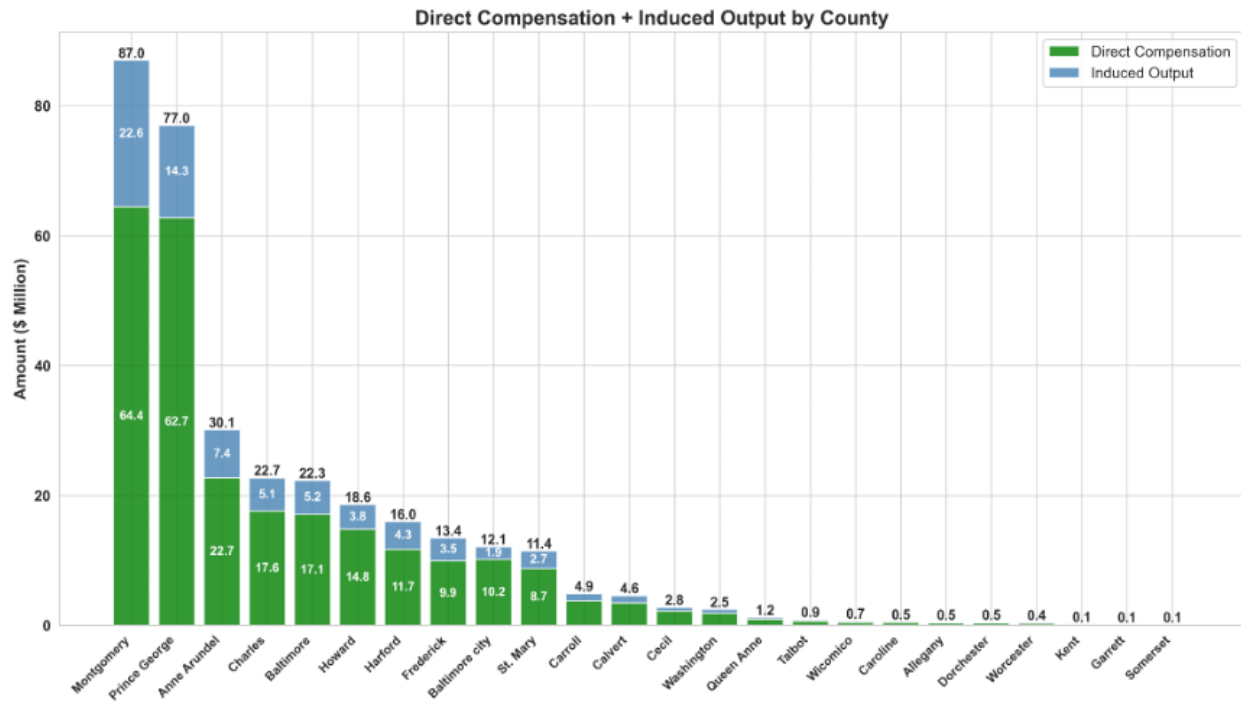


Fig. 4: Enter Caption

3.4 County-Industry Breakdown

To understand the geographic distribution of industry-specific impacts, we examine the top five industries by output and employee compensation for eight major Maryland counties: Montgomery, Prince George's, Anne Arundel, Charles, Baltimore County, Baltimore City, Howard, and Harford. We focus on these counties as they collectively account for \$220 million, or 87%, of Maryland's total \$255 million weekly resident wage deduction, thereby capturing the vast majority of the state's economic exposure to federal shutdowns.

3.4.1 Employee Compensation Impact by County and Industry

Figure 5 illustrates the spillover effects of federal government shutdowns on Maryland's workforce, showing how reduced federal employee spending cascades into wage losses for workers in other industries. Labor-intensive service sectors bear the largest induced compensation impacts across nearly all counties, with services, medical, and retail industries consistently ranking among the most affected.

Notably, while housing shows substantial output impacts across counties (Figure 6), it generates relatively modest compensation effects, reflecting its capital-intensive nature and lower employment density. The geographic concentration of induced wage losses in the Washington-Baltimore corridor, particularly in Montgomery, Prince George's, and Anne Arundel counties, indicates that labor-market spillovers from federal shutdowns are highly localized. Workers in service industries within these counties face dual vulnerability: geographic proximity to federal employment centers and employment in sectors with high income volatility, making them particularly exposed to the cascading economic effects of government funding disruptions.

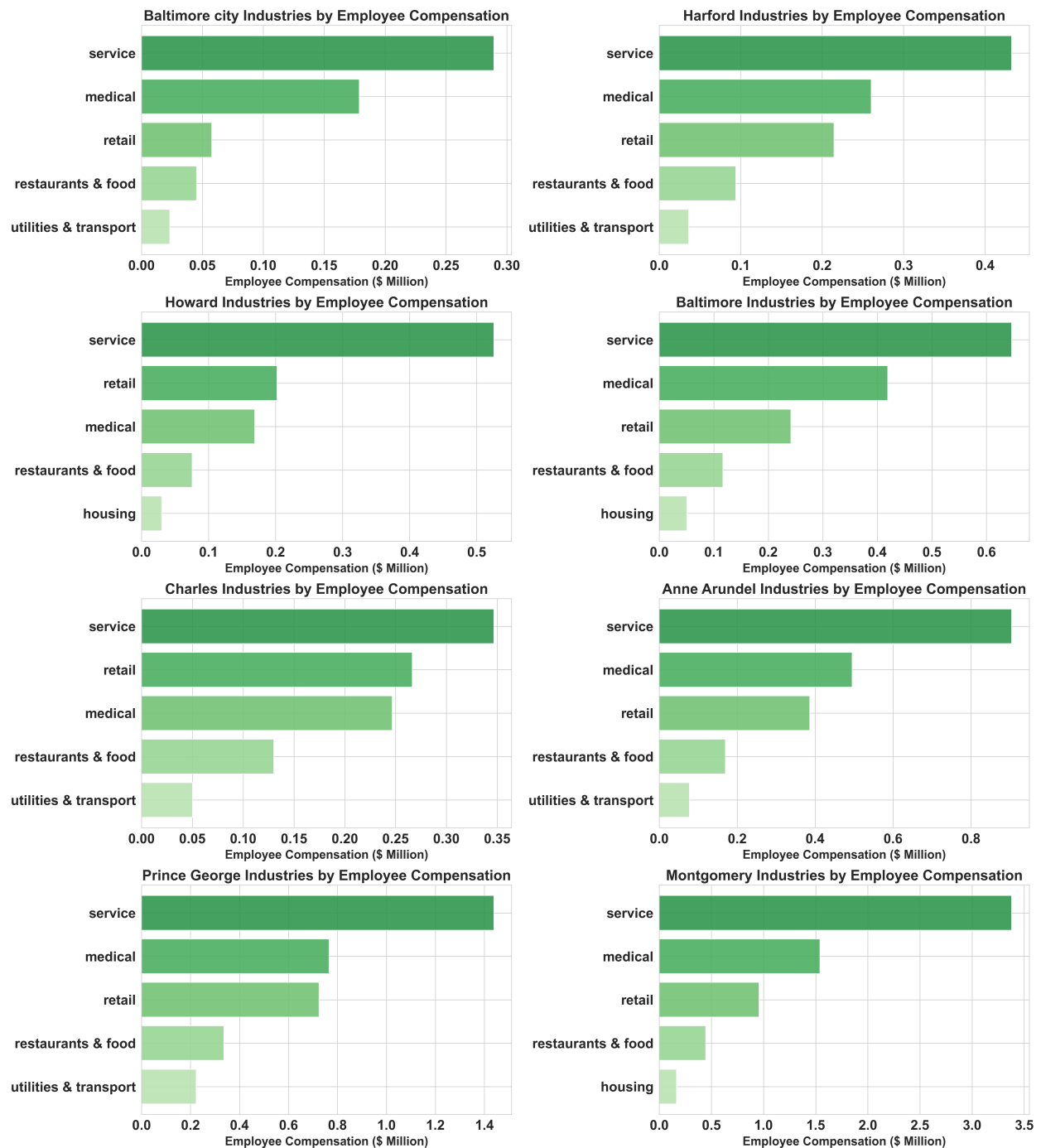


Fig. 5: Top 5 Industries by Induced Employee Compensation for Selected Counties

3.4.2 Output Impact by County and Industry

Figure 6 reveals substantial heterogeneity in industry-specific output vulnerabilities across Maryland's major counties. Service-oriented sectors consistently rank among the most affected industries.

Charles County displays a distinctive profile, with housing (\$1.5 million) surpassing services (\$1 million) as the dominant affected sector, potentially reflecting unique local housing market characteristics that amplify residential real estate exposure to federal income shocks. Anne Arundel, Baltimore County, Harford, and Howard counties follow more typical patterns with services leading, though magnitudes vary considerably. Baltimore City, despite its smaller federal employee base, shows service dominance (\$1 million) alongside significant medical sector exposure (\$0.3 million), reflecting its role as a regional healthcare hub.

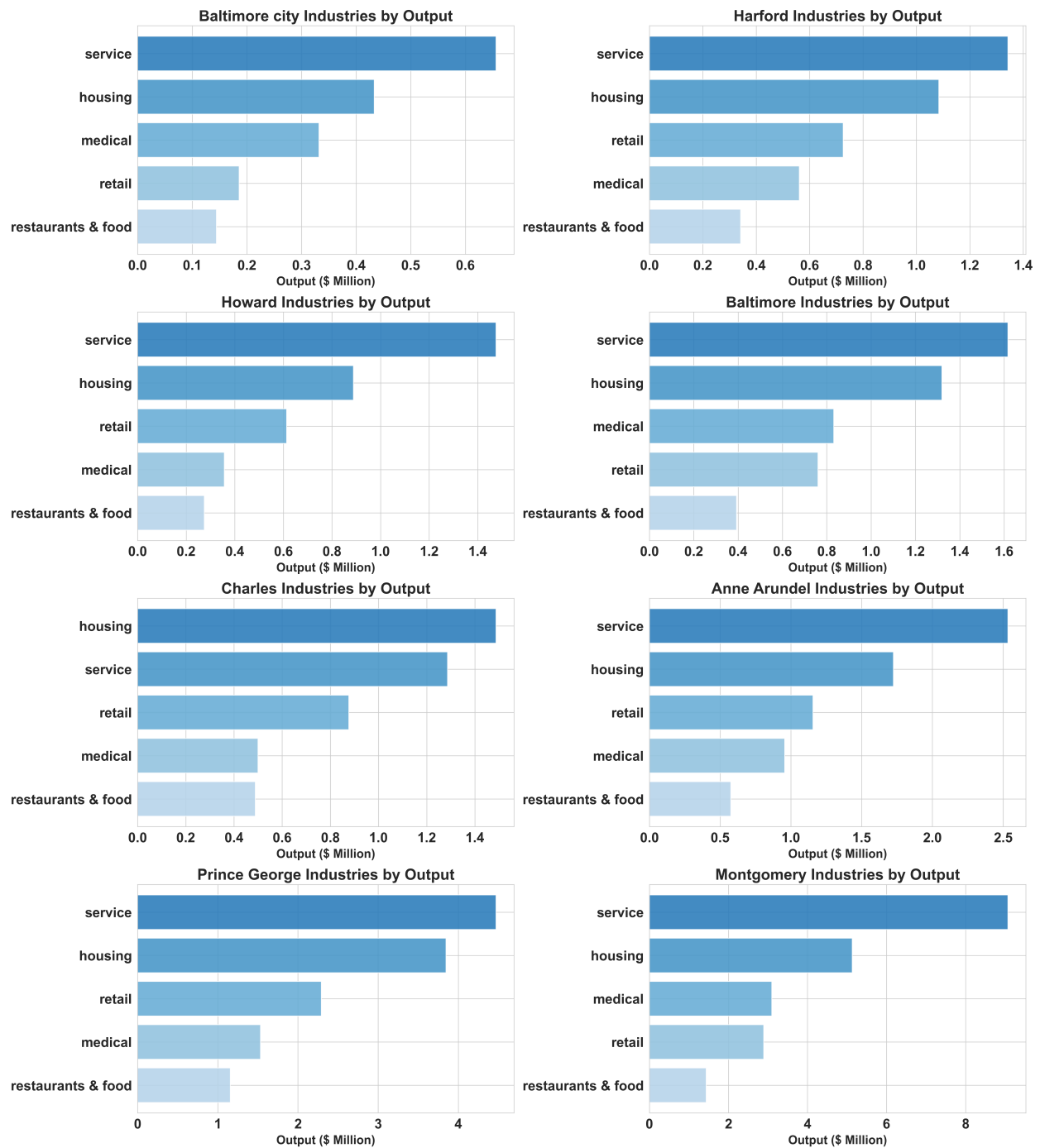


Fig. 6: Top 5 Industries by Induced Output for Selected Counties